Three-Way Match Validator Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Procurement Documents — FY2025 Export
Source File	meridian_procurement_fy2025.csv
Source Context	PO register, invoice log, and receiving log from Meridian ERP
Reference	TWM-2026-1023-202
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

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Period Tested ... FY 2025 (January 1 – December 31, 2025)
Source ... Procurement Documents — FY2025 Export (meridian_procurement_fy2025.csv)
Purchase Orders ..................................... 156
Invoices ............................................ 148
Receipts / GRNs ..................................... 139
Amount Tolerance ................................ $0.01
Price Variance Threshold ........................... 5%
Date Window ..................................... 30 days
Fuzzy Matching ................................ Enabled
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The automated three-way match validation procedures documented in this workpaper were performed on the purchase order, invoice, and receiving documents provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	92%
Column Confidence	90%
Tests Executed	6
Tests Clear	2
Items for Review	62

II. Methodology

The following automated procurement validation tests were applied to the purchase order register, invoice log, and receiving log. Each test is classified by tier (structural, statistical, or advanced) and described below:

Test	Tier	Description
Three-Way Full Match	Structural	Structural. Tests whether each invoice has a corresponding PO and GRN within the configured amount tolerance ($0.01) and date window (30 days). Three-way match is the primary control over unauthorized payments.
Amount Variance	Statistical	Statistical. Flags invoice amounts differing from the PO amount by more than the configured price variance threshold (5%). May indicate unauthorized price changes, billing errors, or contract non-compliance.
Date Variance	Structural	Structural. Flags invoice or receipt dates outside the 30-day window relative to the PO date. Large gaps may indicate backdated documents or goods invoiced before delivery.

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Test	Tier	Description
Unmatched Documents	Structural	Structural. Identifies POs, invoices, and receipts with no corresponding match in the other two sources. Unmatched invoices are the highest fraud risk — payment without an authorized PO per ISA 240.
Duplicate Invoice Numbers	Advanced	Advanced. Flags invoice numbers appearing more than once, indicating potential duplicate billing or invoice number reuse across vendors.
Quantity Variance	Statistical	Statistical. Flags cases where invoiced quantity differs from received quantity per GRN. May indicate billing for undelivered goods.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Match Results

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Full Matches (3-way) ..... 118 (75.6%)
Partial Matches (2-way) ..... 21 (13.5%)
Material Variances ..... 7
Net Variance ..... $23,450.00
Risk Assessment ..... HIGH (66/100)
Benchmark ..... 85–95% (best practice)
Assessment ... Below 80% threshold — match-rate anomaly indicator; auditor judgment required to determine cause
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Document Type	Total Amount
Purchase Orders	$1,842,000.00
Invoices	$1,865,450.00
Receipts	$1,831,200.00

IV. Results Summary

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Composite Diagnostic Score ..... 66.0 / 100
Diagnostic Tier ..... HIGH (66/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Items Flagged ..... 62
Overall Flag Rate ..... 39.7%
High Severity Flags ..... 18
Medium Severity Flags ..... 38
Low Severity Flags ..... 6
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Test	Flagged	Rate	Severity
Three-Way Full Match	38	24.4%	MEDIUM
Unmatched Documents	17	10.9%	HIGH
Amount Variance	6	3.8%	HIGH
Date Variance	1	0.6%	HIGH
Duplicate Invoice Numbers	0	0.0%	LOW
Quantity Variance	0	0.0%	LOW

V. Material Variances

7 material variance(s) were identified requiring review:

Vendor	PO Number	Invoice Number	Field	PO Value	Invoice Value	Variance	Severity
Consolidated Equipment Ltd.	PO-2025-0847	INV-48445	Amount	$67,000.00	$72,000.00	$5,000.00	HIGH
Meridian Supply Co.	PO-2025-0812	INV-47832	Amount	$45,000.00	$47,500.00	$2,500.00	HIGH
Atlas Industrial	PO-2025-0834	INV-48201	Amount	$12,000.00	$13,200.00	$1,200.00	MEDIUM
Northern Components Inc.	PO-2025-0856	INV-48612	Amount	$23,000.00	$24,150.00	$1,150.00	MEDIUM
Pacific Materials Group	PO-2025-0819	INV-47956	Amount	$8,500.00	$9,100.00	$600.00	MEDIUM
Western Fabrication	PO-2025-0861	INV-48720	Amount	$5,400.00	$5,800.00	$400.00	MEDIUM
Consolidated Equipment Ltd.	PO-2025-0847	INV-48445	Date	2025-10-15	2025-12-20	66 days	HIGH

Net Variance Direction

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PO-Authorized Total ..................... $1,842,000.00
Invoice Total ........................... $1,865,450.00
Net Overbilling ... $23,450.00 (vendors billed above PO-authorized amounts)
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VI. Key Findings

1. 7 Material Variances — Net Overbilling $23,450.00 (invoice amounts exceed PO-authorized amounts)

Suggested follow-up: As a priority follow-up action, obtain PO amendment documentation for each HIGH severity variance. Confirm whether price increases were authorized by an approved PO amendment prior to invoice submission. For variances lacking authorization, contact the vendor to obtain a credit memo or corrected invoice.

2. 75.6% Full Match Rate — Below 80% best practice threshold; investigate matching patterns (auditor judgment required to determine cause)

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Suggested follow-up: Building on the initial assessment, investigate the root cause of the non-match rate. Assess whether the cause is process-related (manual PO entry errors), system-related (ERP matching logic gaps), or control-related (inadequate segregation of duties in procurement). Recommend remediation steps to management to bring the match rate above 85%.

3. 5 Unmatched Invoices — Unauthorized payment risk; do not release payment until PO authorization is confirmed

Suggested follow-up: To further substantiate the finding, investigate unmatched invoices for potential unauthorized purchases, duplicate invoices, or PO-bypass transactions requiring management explanation.

4. 66-Day Date Gap — Potential backdating on PO-2025-0847 (PO date 2025-10-15, invoice 2025-12-20)

Suggested follow-up: As a priority follow-up action, obtain the original PO, invoice, and GRN for this transaction. Confirm actual delivery date and whether the invoice represents goods received. Investigate whether the invoice date or PO date was altered after original entry. Date gaps exceeding 60 days are a backdating indicator per ISA 240.

VII. Unmatched Documents

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Unmatched POs ..................................... 9
Unmatched Invoices ................................ 5
Unmatched Receipts ................................ 3
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Unmatched Invoices (5 items) — HIGHEST RISK

Invoice Number	Vendor	Invoice Date	Amount
INV-49001	Unknown Vendor A	2025-12-15	$8,750.00
INV-49015	Atlas Industrial	2025-12-18	$3,200.00
INV-49023	Unknown Vendor B	2025-12-20	$14,500.00
INV-49038	Meridian Supply Co.	2025-12-22	$1,850.00
INV-49044	Unknown Vendor C	2025-12-28	$6,100.00

Do not release payment until PO authorization is confirmed.

Unmatched Purchase Orders (9 items)

PO Number	Vendor	PO Date	PO Amount
PO-2025-0901	Delta Logistics	2025-11-15	$12,500.00
PO-2025-0903	Summit Hardware	2025-11-18	$7,800.00
PO-2025-0907	Apex Electrical Supply	2025-11-22	$19,200.00
PO-2025-0912	Greenfield Chemical Co.	2025-11-28	$4,350.00
PO-2025-0918	Ironclad Fasteners	2025-12-02	$2,100.00
PO-2025-0921	Coastal Freight Services	2025-12-05	$15,600.00
PO-2025-0925	Pinnacle Safety Products	2025-12-08	$6,900.00
PO-2025-0930	Redwood Timber Inc.	2025-12-12	$31,400.00
PO-2025-0934	BlueLine Plumbing Supply	2025-12-15	$5,250.00

Confirm whether open orders are awaiting invoice or should be closed.

Unmatched Receipts (3 items)

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GRN Number	Vendor	Receipt Date	Amount
GRN-8801	Pacific Materials Group	2025-12-20	$3,200.00
GRN-8815	Northern Components Inc.	2025-12-23	$9,400.00
GRN-8822	Summit Hardware	2025-12-27	$2,750.00

Confirm whether an accrual is required for goods received but not invoiced.

VIII. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 405-20	Liabilities — Extinguishments of Liabilities	Current

IX. Conclusion

Based on the automated three-way matching procedures applied, the procurement cycle returned HIGH flag density (Composite Diagnostic Score: 66.0/100) across the automated tests. Significant variances and/or unmatched documents were detected that require detailed investigation. The engagement team should evaluate whether additional substantive procedures are appropriate per ISA 505 and PCAOB AS 1105.

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This memo documents automated three-way match validation testing procedures with reference to ISA 500 (Audit Evidence) and ISA 505 (External Confirmations). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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